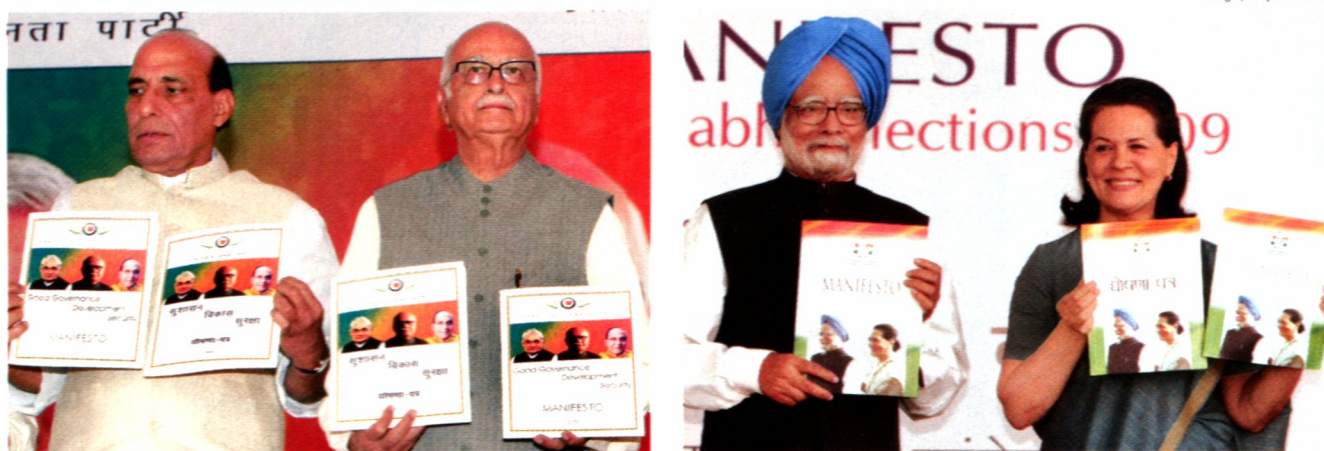




The Sop STORY

RAJNATH SINGH AND L.K. ADVANI (LEFT); MANMOHAN AND SONIA GANDHI WITH THEIR PARTY MANIFESTOES

Parties of all hues are singing the same utopian aria: turning India into a welfare state

If party manifestoes are anything to go by, this election promises to turn India into the world's newest and biggest welfare state, never mind the cost or source of funding. Indeed, deafened by the din of battle, no one's heard of the economic meltdown either. It's the mother of all sop operas, and everyone, from the champions of economic liberalisation, the Congress and BJP, to smaller regional parties, are singing the same utopian aria. The Congress, riding on its "aam-aadmi" chariot, promises cradle-to-grave pampering starting with a National Food Security Act which will legally entitle all Below Poverty Line (BPL) families to 25 kg of rice or wheat every month at the rate of Rs 3 per kg.

The manifesto also pledges health insurance, reservation for economically weaker sections and, with a nod to Rahul Gandhi, reservation of a proportion of seats in panchayats for persons below the age of 35 years. On larger issues of economic policy, the manifesto is opposed to "blind privatisation" and also committed to retaining enterprises like banks and telecom companies in the public sector. Manmohan Singh, the architect of economic reforms, has given way to Singh the Socialist.

Across the ideological street, the BJP's desire to end up on the right side

of history has ensured that their poll promises are even more generous and expansive, not to mention expensive. Its manifesto undercuts the Congress by promising 35 kg of rice or wheat at Rs 2 per kg to BPL families and offers income tax exemption for income up to Rs 3 lakh and Rs 3.5 lakh for women. The BJP, often scoffed at as a party of shopkeepers, has vowed not to allow FDI in retail, which basically means goodbye to Wal Mart-type discount megastores.

Not to be outdone, regional parties are flexing their sop muscles as well. In Andhra Pradesh TDP supremo N. Chandrababu Naidu has offered the mother of all poll sops—a cash dole of Rs 1,000-2000 every month to the poor, lower middle class and middle class families while BPL families will get a colour television. Rival Chiranjeevi, a political debutante, has also chipped in with a promise of free land to SC/STs in rural areas while Uttar Pradesh Chief Minister Mayawati, averse to the idea of a manifesto, packs in her promises in her 20-page "appeal" for Lok Sabha elections. The BSP offers a highly-original economic logic: "Our party wants growth of capital and not development of capitalists in the country". Meanwhile, the CPI(M) brandishes a sickle at FDI, divestment of public sector units, tax concessions

for SEZs, Indo-US nuclear deal and a strategic partnership with the US.

In the desperate race to outbid each other in the sop stakes, no one is looking too closely at the bottom line. Analysts say that there are serious financial risks involved in such largesse. If the rice scheme, farm loan waiver and youth scholarships as promised by the Congress are implemented, it would cost about Rs 23,000 crore. The fiscal costs of the BJP poll sops could run up to Rs 58,000 crore. Recent history, however, shows that post-election, reality does bite. "The BJP had made the promise of offering rice at Rs 2 a kilo in the last Karnataka assembly election. Nowhere do you find this allocation now," says Congress leader Pranab Mukherjee. Then there is also the danger of schemes being overturned along with governments. In the run-up to the assembly elections last year in Rajasthan, the Vasundhara Raje government had promised to credit Rs 1,500 to every woman with a bank account in Punjab National Bank, but the new Congress Government under Chief Minister Ashok Gehlot placed the scheme 'under review'.

Clearly, this season's money-festivals are looking at the other bank, the vote-bank, as long as the bill isn't due.

by Shafi Rahman